

GMM Grammy Public Company Limited

Strategy Recommendation using Business Economics Strategy Principle

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Previewing Scope on Report and Outlines of Presentation

Corporate References

Minutes of Annual General Meeting of Shareholders

- Capture shareholder concerns, resolutions, and strategic directions approved by the board.
- Supports analysis of corporate governance, strategic continuity, and stakeholder alignment.

Financial Statements

- Present audited financial performance across revenue, expenses, assets, and liabilities.
- Forms the backbone of financial performance analysis and supports IFAS scoring.

Management Discussion and Analysis (MD&A)

- Interpret financial results with management's perspective on risks, opportunities, and outlook.
- Bridges financial figures with strategic implications, supporting SWOT and policy analysis.

Management Team

- Identify leadership structure, roles, and governance committees.
- Supports McKinsey 7S analysis, stakeholder mapping, and value chain leadership alignment.

Outline Presentation

1. GRAMMY's Business Overview and Strategy

2. Situational Analysis

- Internal and External Environment Factors
- Industry Landscape

3. Business Economic Evaluation

- IFAS, EFAS and SFAS

4. Strategy Recommendation – using TOWS matrix principle

Note: Outline presentation is based the material and information from GMM Grammy Public Company Limited's report. To see full details please look the report.

GMM Grammy's Key Findings from Analysis

Well-positioned

as Thailand's cultural leader, but
global competitiveness requires
**deeper digitalisation, ESG
integration and talent development**

Balancing

**creative ambition with
financial discipline** for its
holding company model
execution

Long-term

success through **innovation,
sustainability and cross-
platform synergy emphasis**

Executive Summary

Corporate's Vision

"To enrich lives through culture, creativity, and connection."

Issues and Challenges

- Digital-native Competition
- Heavy Reliance on Domestic Market
- Rising Costs on Content Production and Licensing resulting in Reduction on OPM Performance
- Shifts on Online Entertainment Consumer Behavior towards Digital Media

Strategic Implementation and Recommendation

Short-term strategies involve urgent innovation and cost discipline through defensive and survival approaches; intermediate and long-term involve digital monetisation, regional expansion and brand preservation through offensive and adaptive strategies.

Business Overview and Strategy

GMM Grammy has evolved from music pioneer to entertainment ecosystem powered by subsidiary networks and strong governance.

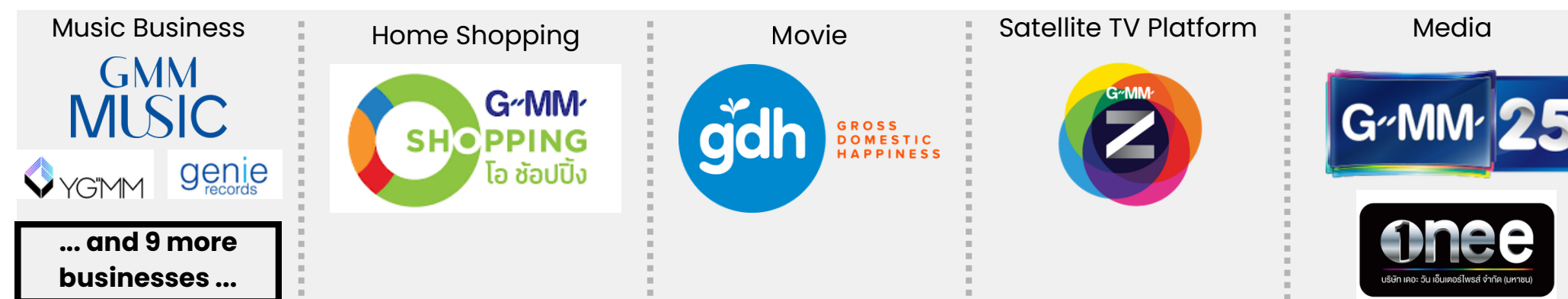
Background

- ◆ Founded on 1983, Bangkok, Thailand
- ◆ Operating in Entertainment & Media Conglomerate
- ◆ Began as music production and artist management company and expanded into
- ◆ TV, film, live events, home shopping and digital platforms.
- ◆ Transitioned into holding company model

Core Subsidiaries

- ◆ **GMM Music** – flagship music division, artist management, concerts and publishing
- ◆ **GDH 599** – award-winning film studio, international recognition
- ◆ **GMMTV & GMM25** – serialised dramas, variety shows, youth-focused content
- ◆ **O Shopping** – televised retail and merchandise bundling
- ◆ **GMM Studios & Digital** – streaming, fintech-enabled loyalty programs, apps

2568 Company Business Structure



Internal Corporate Governance

- ◆ Consists of 8 executives across management team and 4 board of directors that are anchored by family governance and there are also 5 independent directors

“ Emphasizing on **human resource development plan** and good **corporate governance** ”

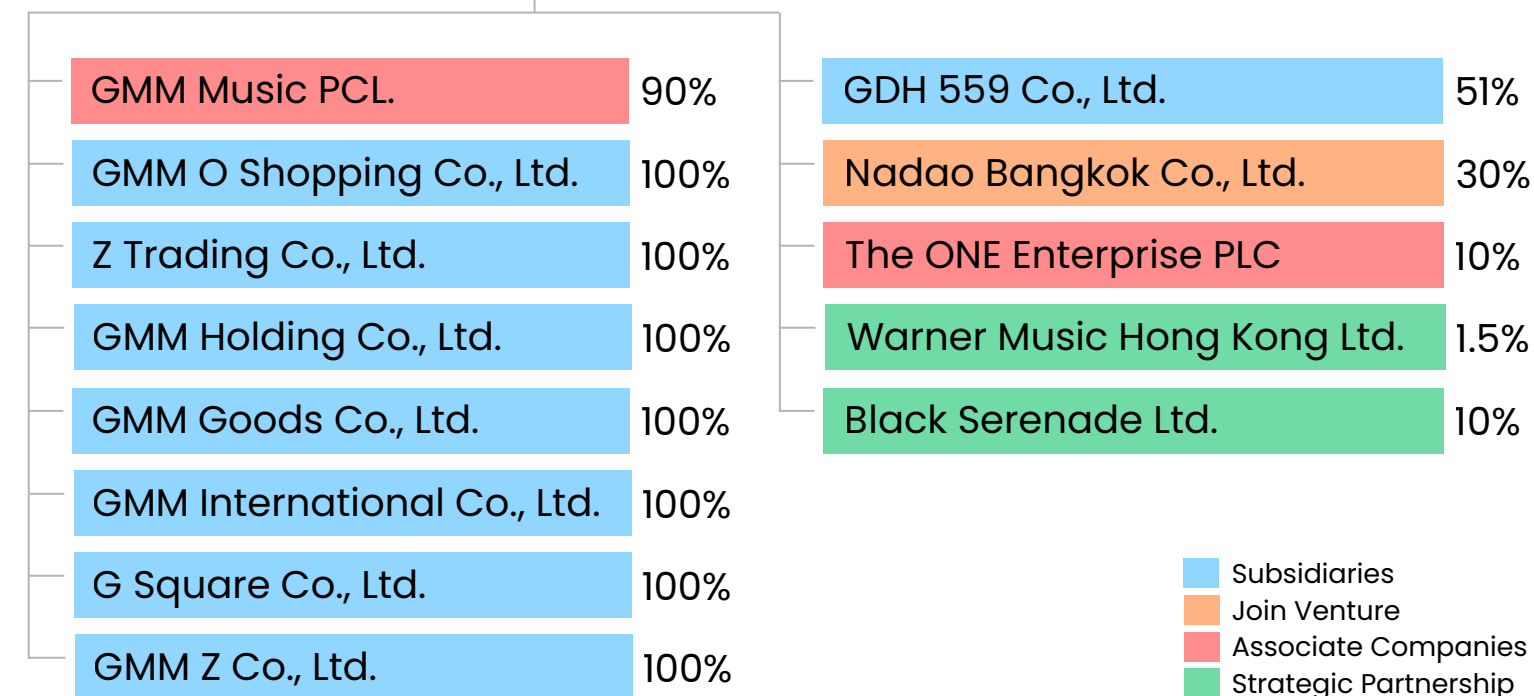
Message from Chairman and Group Chief Executive Officer on 2561's Annual Report.

Corporate group structure and executive leadership drive synergy across music, media, and digital platforms.

Blend of full subsidiaries, join ventures, associate companies and strategic partnerships

GMM Grammy – Corporate Group Structure

* As of May 9, 2025



Directors Background and Key Product & Service



Ms. Bussaba Daorueng

Vice Chairperson & Group CEO

- Oversees risk, ethics, and governance across subsidiaries (GMMTV, GDH, The ONE Enterprise).



Mr. Fahmai Damrongchaitham

Acting CIO – Drives coalition building and fintech-aligned investments

- Supports entertainment-fintech convergence, enhancing investor confidence and cross-border readiness.



Mr. Kittisak Chuangarun

Acting CBO (Commerce), – Manages product monetization and retail risk

- Oversees subsidiaries like GMM Goods, GMM Publishing, and O Shopping



Mr. Phawit Chitrakorn

CEO Music Business, – Leads artist management, IP monetization, and fan engagement

- Expands loyalty-linked programs and concert strategies

Music Artist IP

Exclusive releases, artist management, concerts, licensing, publishing

Film Television

Feature films, dramas, variety shows, co-productions

Commerce Merchandise

O Shopping programs, branded merchandise, fan collectibles, bundled concert products

Digital Platforms Loyalty Programs

Apps, streaming portals, fintech-enabled fan privileges, tier migration systems, data-driven engagement tools

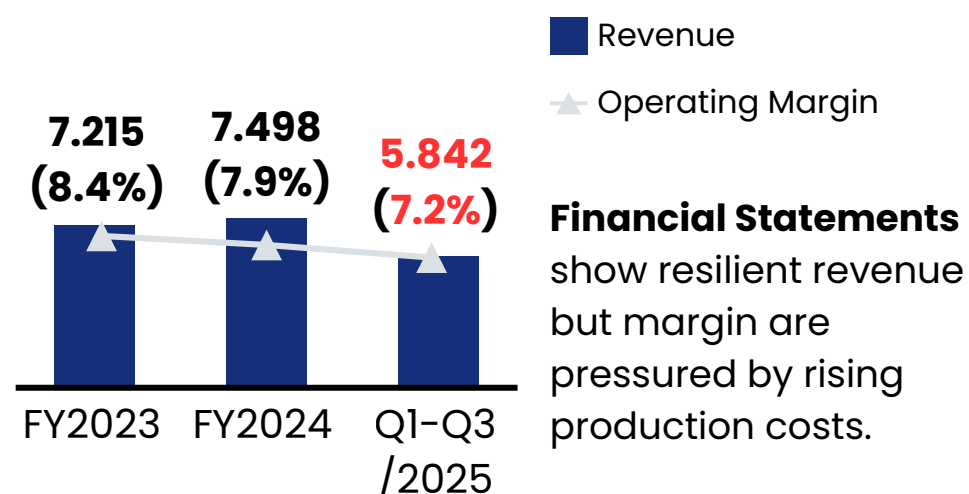
Situational Analysis

Integrating capabilities across structure, systems, and skills collectively enable sustainable competitive advantage for its corporate group.

Corporate Insights

- ◆ **MD&A** highlights digital transformation progress but notes challenges in legacy channels (satellite TV, home shopping)
- ◆ **AGM minutes** confirm shareholder support for restructuring and IPO readiness of GMM Music
- ◆ **Management team analysis** shows strong governance continuity, but succession planning and mid-level leadership development remain critical.

Bn THB, GMM Grammy's Revenue and OPM



Internal Environmental Analysis

McKinsey 7S

Strategy	Holding company model focused on loyalty monetization, ESG alignment, and platform synergy
Structure	Centralized governance with modular execution across music, film, commerce, and digital units
Systems	Digital platforms, ESG reporting, CRM tools, and KPI dashboards drive performance and compliance
Shared Values	Creativity, ethical governance, and cultural leadership guide brand and stakeholder engagement
Style	Top-down leadership with cross-functional collaboration led by long-tenured executives
Staff	Mix of legacy talent and digital professionals; HR focuses on rotation, training, and succession
Skills	Strong in IP monetization, artist management, content production, and fintech-integrated engagement

Financial Performance

Revenue, Profitability and Capital

- ◆ Music and content IP remain highest contributors, with growing digital monetisation.
- ◆ Stable Gross Margin in music and film segments, **pressure on OPM due to rising production costs and restructuring expenses**

Cash Flow and Investment

- ◆ Debt levels remain manageable; equity base strengthened through strategic divestment such as GMM Music IPO filing.
- ◆ Positive CF from core operations; increasing investment in digital infrastructure, ESG reporting systems and loyalty platforms

External Forces Reshape Grammy's Path to ASEAN Expansion and ESG-Driven Investment.

Summary of Corporate External Factors

- ◆ GMM Grammy has positive effects from both domestic and international policy initiatives while facing challenges from macroeconomics cycle and global competitions that are dominate streaming and advertising revenue.

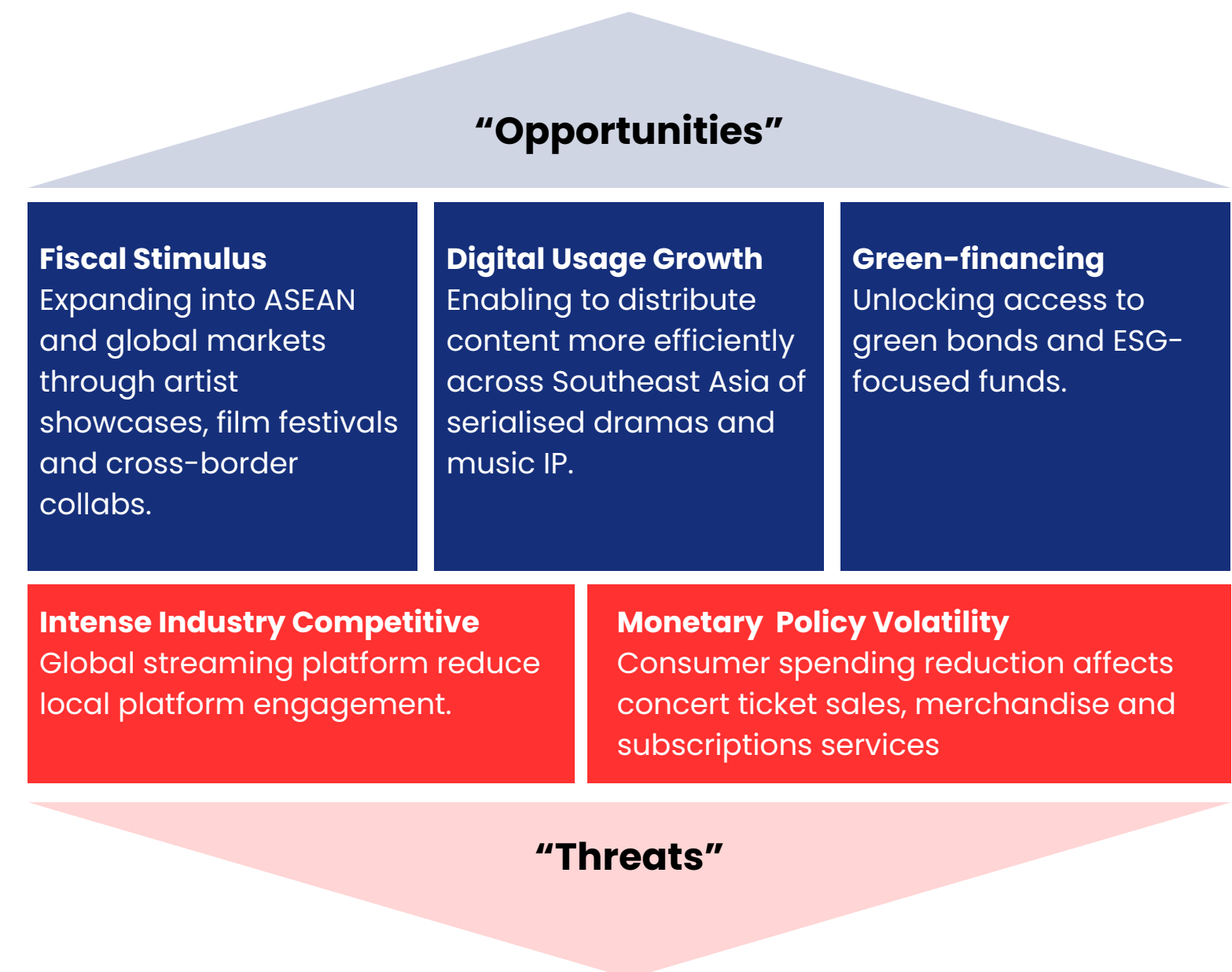
Domestic and International Policy

- ◆ TCEB encourages cultural diplomacy positioning film and entertainment as key **soft power exports** – along with **ข้อปลื้ม** and **Digital Wallet** helps boosting consumer spending.
- ◆ Rising of 5G and Cloud Streaming and shifting of online users behavior changed after Covid-19 helps companies easier to **penetrate and expand market**.
- ◆ SET Market now rewards companies with strong ESG transparency to access **green bonds** and **ESG-focused funds**.
- ◆ New regulations around copyright enforcement, content moderation and data privacy **increase compliance costs**.

Macroeconomic and Industry Landscape

- ◆ **Aggressive competition** from global giants – Netflix, Spotify and Youtube
- ◆ **Rising interest rate and inflation** reduce consumer spending

External Environmental Analysis



Leads Thailand’s Entertainment Market with Integrated Strength Amid Rising Digital and Niche Challengers.

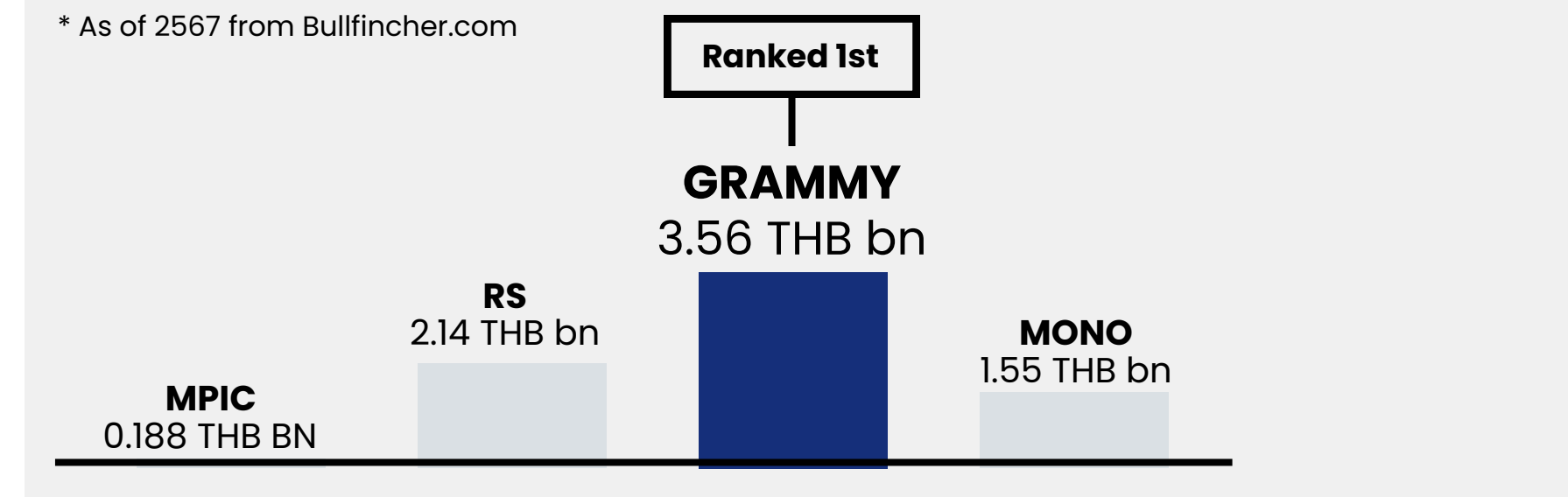
Competitive Positioning in Thai Entertainment Market

Capturing 16.8% of Thailand’s E&M Market Cap

- ◆ GMM Grammy, MPIC, RS Group and MONO NEXT operate in **overlapping activities** in music, film, TV and digital platforms, **competing for consumer entertainment spending and advertising revenue**.

Adjusted Competitors Positioning based on 2024's Revenue

* As of 2567 from Bullfincher.com



Thai Entertainment Players Mapping

Direct Competitor		Indirect Competitor	
			
"Broad + Integrated Leader"	"Digital OTT Challenger"	"Specialised Film Player"	"Commerce-driven Niche"
Music, TV, Film, Commerce, Digital Apps	OTT, TV Channels, Foreign Series	Thai Film Production and Licensing	Music, Radio, Commerce Integration
Content Production and Distribution			
Mass Audiences and Youth	Mass Audiences and Youth	Niche Film Enthusiasts	Value-driven Consumers
Target Market			
Diversified (Music IP, Concerts, Commerce, Fintech)	Advertising + OTT subscriptions	Film Licensing + Niche Productions	Entertainment-commerce Hybrid
Revenue Streams			
Loyalty Monetisation, IP Control, Fintch Integration	OTT Scale, Mobile-first	Film Catalog Depth, Niche Appeal	Commerce Synergy, Legacy IP
Strategic Edge			
Fully Integrated, Multi-platform Entertainment	Digital Platforms and Content Distribution	Overlay only in Film	Overlay only in Commerce

Business Economics Evaluation

Balanced Internal Strengths and External Opportunities Position Grammy for Sustainable Growth Amid Market Challenges.

Internal Factors (IFAS)

Strengths	Priority	Weighted Score
▪ Iconic Brand Equity and Cultural Relevance	0.20	1.00 (⌘5)
▪ Diversified Content and Monetisation Ecosystem	0.15	0.60 (⌘4)
▪ Strong Digital Transition and Platform Integration	0.15	0.60 (⌘4)
▪ Financial Stability and Strategic Asset Base	0.10	0.40 (⌘4)
Weaknesses		
▪ Heavy Reliance on Domestic Market	0.10	0.30 (⌘3)
▪ Volatility in Content Performance	0.10	0.30 (⌘3)
▪ Conservative Pace in Platform Innovation	0.10	0.30 (⌘3)
▪ High Operating Cost in Legacy Segments	0.10	0.20 (⌘2)

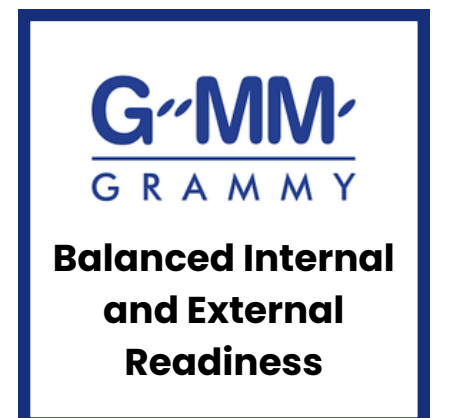
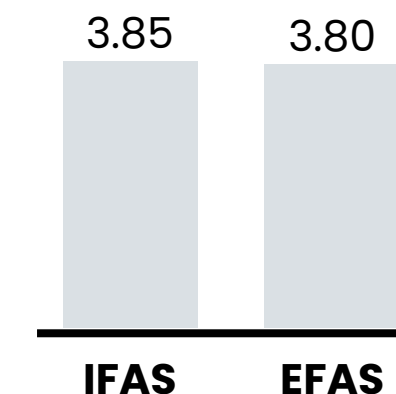
External Factors (EFAS)

Opportunities	Priority	Weighted Score
▪ Tourism Rebound in Thailand	0.20	1.00 (⌘5)
▪ Expansion of Digital Channel and Fan Ecosystem	0.20	0.80 (⌘4)
▪ Shifts in Consumer Lifestyle and Content Preferences	0.15	0.60 (⌘4)
▪ Technological Innovation and Data Analytics	0.10	0.40 (⌘4)
Threats		
▪ Intensifying Competition across Platforms and Formats	0.15	0.45 (⌘3)
▪ Rising Operational and Content Production Costs	0.15	0.30 (⌘2)
▪ Regulatory Shifts and Public Health Contingency	0.05	0.15 (⌘3)
▪ Economic Uncertainty and Reduced Spending	0.05	0.10 (⌘2)

Summary of Evaluation

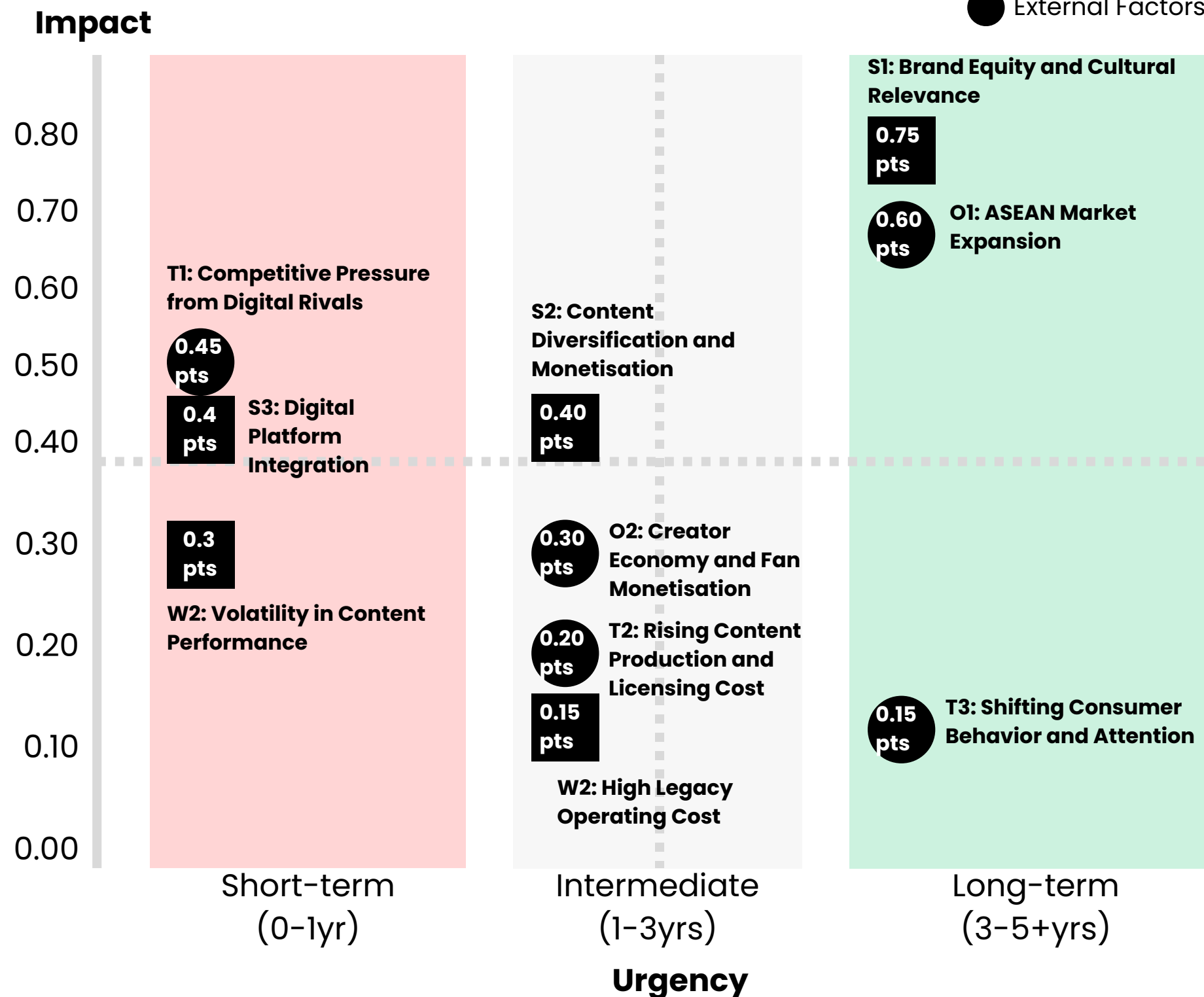
- ◆ **IFAS: Strong Internal Capabilities to execution strategy** – Brand Equity, Diversified Monetisation and Platform Integration
- ◆ **EFAS: Strong External Opportunities though threats like competition and cost pressures remain** – Tourism Rebound, Digital Expansion and Lifestyle Shifts

Total Evaluation Scores by Factor



Grammy's High-Impact Factors Demand Urgent Innovation, While Long-Term Strengths Anchor Sustainable Growth.

SFAS – Impact VS Urgency Quadrant Chart



Interpretation

Top Left
High Impact, Long-term

S1 + O1
Preserve Brand and Expand Regionally

Top Right
High Impact, Short-term

S3 + T1
Urgent Innovation and Agility needed

Bottom Left
Lower Impact, Long-term

W3 + T3
Cost Restructuring and Consumer Adaptation

Bottom Right
Lower Impact, Short-term

W2 + T2
Stabilise Earnings and Manage Rising Costs

Strategy Recommendation for 2025 – 2030 Outlook

Leveraging Strengths, Confronting Threats, and Transforming Weaknesses into Regional Growth Opportunities

Strategic Horizon for GMM Grammy Public Company Limited 5 Years Outlook

2025 – 2026

Timeframe Period: Short-term (0-1yr)
Focus: Urgent Innovation, Cost Discipline and Loyalty Reinforcement
Strategic Type: Defensive (ST) and Survival Strategies (WT)

ST1 Experience Differentiation Shield	Use Brand Equity and Platform Reach to outshine digital-native competitors through immersive formats and flagship showcase.
ST2 Resilient Content Engine	Apply financial stability and content diversification to absorb rising costs and maintain creative output.
WT1 Legacy Cost Restructure	Streamline operations and shift to modular production to protect margins during economic softness.
WT2 Core Loyalty Focus	Enhance fan privileges and premium content access to retain loyal audiences amid weak spending and competition.

2026 – 2028

Timeframe Period: Intermediate (1-3yrs)
Focus: Digital Monetisation, Creator Engagement and Innovation Agility
Strategic Type: Offensive (SO) and Adaptive (WO) Strategies

SO2 Fan Monetisation Accelerator	Deepen fan-tier monetization through app upgrades, exclusive content, and interactive features.
WO2 Agile Innovation Booster	Launch “Grammy Innovation Studio” to pilot new formats, creator collaborations, and monetization models using real-time feedback.

2028 – 2030 and Ongoing

Timeframe Period: Long-term (3-5yrs)
Focus: Regional Expansion, Cultural Leadership and Brand Preservation
Strategic Type: Offensive (SO) and Adaptive (WO) Strategies

SO1 Cultural Export Amplifier	Deepen fan-tier monetization through app upgrades, exclusive content, and interactive features.
WO1 Market Diversification Drive	Reduce domestic reliance by entering ASEAN markets and underserved Thai regions with localized content and artist tours

**Thank you for Your
Attention
– Kanokphan and Team**

Ready for Q&A session



Appendix I: Short-term's Survival Strategy Initiatives

On August 2568, GMM Grammy had partnered with KTC to issue GRAMMY's credit card to offer their end-customers to earn fan privileges and premium content access, matching with our short-term strategy direction.

Current GRAMMY's Strategy: Transform every GRAMMY payment to valuable engagement

Emphasis convenience, lifestyle perks, and financial flexibility

No Entrance Fee
No Annual Fee



Key Features

- ◆ **24/7 Support** for travel bookings, dining reservations, gift/flower delivery, home services, and medical emergency coordination
- ◆ **Special interest rate** 0% up to 10 months, or 0.74% up to 10 months via KTC Mobile or KTC phone
- ◆ **Free coverage** up to 300K THB for 90 days after card activation (for new members, Jan-Dec 2025)
- ◆ Withdraw up to 100% of available credit, capped at 100K THB/day via ATM or KTC Mobile
- ◆ Earn **1 KTC FOREVER point for every 25THB spent**; points never expire

- ◆ Support Google Pay, Garmin Pay, Fitbit Pay and SwatchPAY for seamless and secure payments
- ◆ **Exclusive deals** for online shopping and food delivery with partner merchants

Strategy Validation

- ◆ **Reinforce customer loyalty** through daily transaction
- ◆ **Maintain customer spending** during fluctuation of interest rate and inflation rate by minimising change of product and service price during uncertainty of spending confidence

GRAMMY's Distinct Competitive Advantage

	Their Credit-Linked Loyalty Model	100%	first-mover share in Thai E&M sector
	Full range of In-house Entertainment Asset	>20	subsidiaries across music, broadcast, e-commerce and IP
	Our Synergistic Multi-platform Ecosystem	Unified	engagement across music, TV, retail and e-com

Appendix II: AMEX – Direct Spend, Instant Credit

Case Study allows end-user to pay directly with their finance product to unlock \$25 monthly credits – no apps and middleman – build loyalty with every swipe.

Case Study: AMEX Credit Card \$300 Digital Entertainment Credit

Leverage Lifestyle-linked subscription credits to drive premium cardholder retention and engagement

\$300/yr
Digital Entertainment Credit

AMEX's Utility Platform



Media



News



Streaming



Eligible Merchants

- ESPN+
- Youtube TV & Youtube Premium
- The New York Times
- The Wall Street Journal
- Disney+
- Hulu
- Paramount+
- Peacock

Case Study's Impact

Reference: *American Express* and "How I'm Going To Use The Amex Platinum Card's New Credits" Article

- **Transactional Value**; no emotional depth required
- **Double-digit growth** in lifestyle category spend
- Improved subscription **retention**
- **Higher average spend** per active user
- **Margin expansion** through lifestyle-linked service contributions
- No incurred platform cost to AmEx; using merchant infrastructure

GMM GRAMMY นำร่องบุกตลาด MUSIC NFT

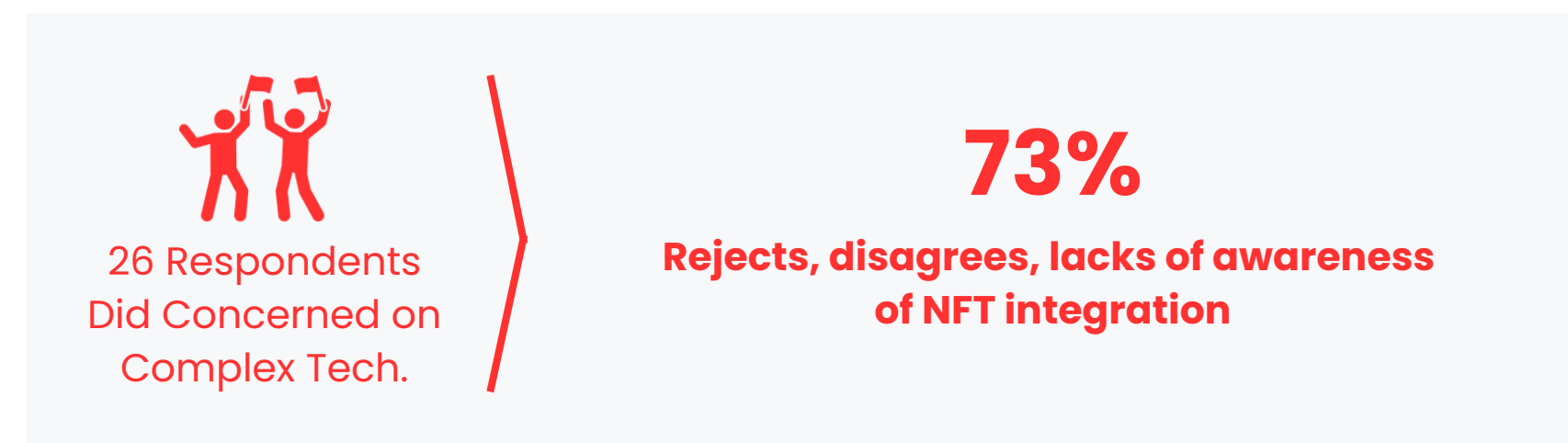
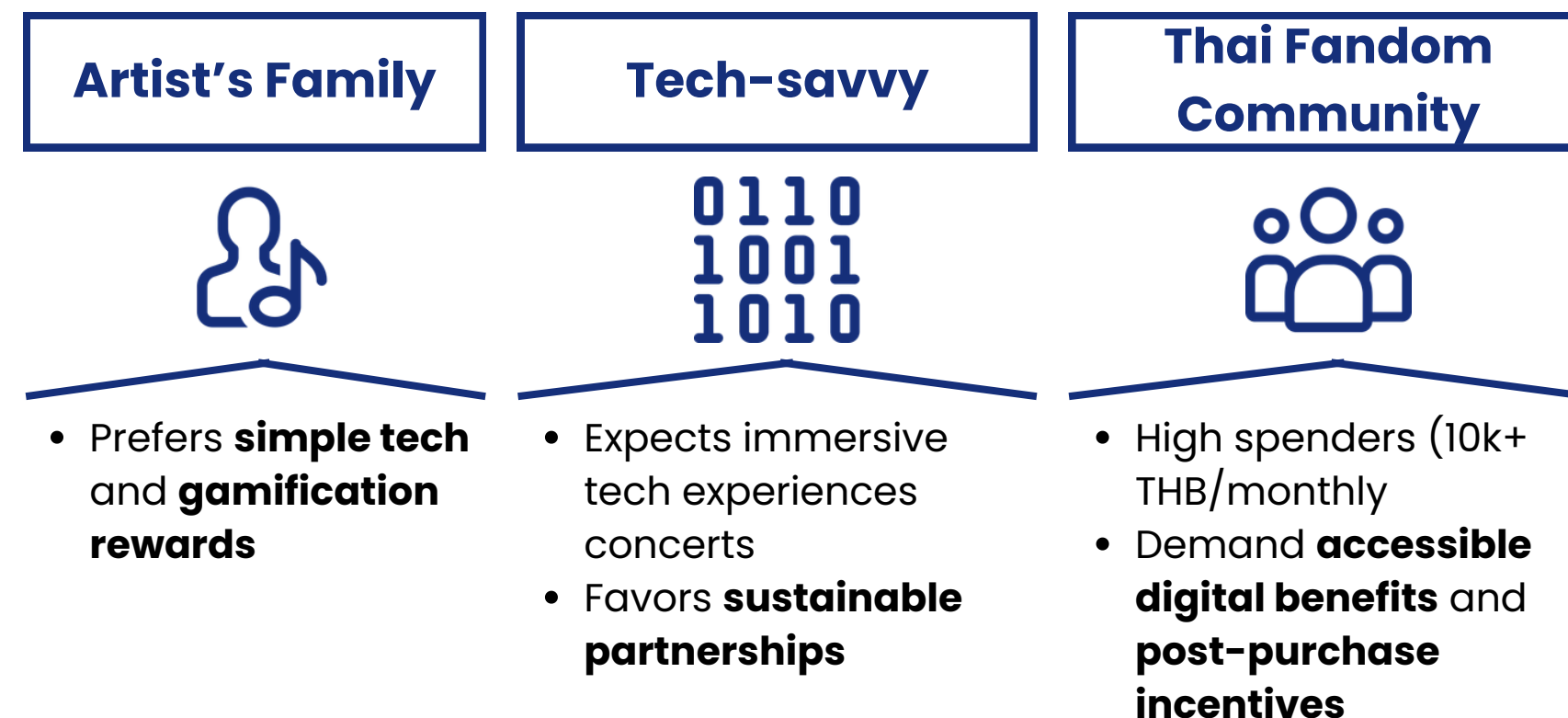
จับมือ 4 แพลตฟอร์มยักษ์ หวังสร้างมูลค่าเพิ่มเตรียมพร้อมสู่ธุรกิจเพลงแห่งอนาคต



Appendix III: Digital Transformation Strategy

Digital transformation must prioritize simplicity, artist trust, and commerce accessibility to unlock scalable loyalty participation.

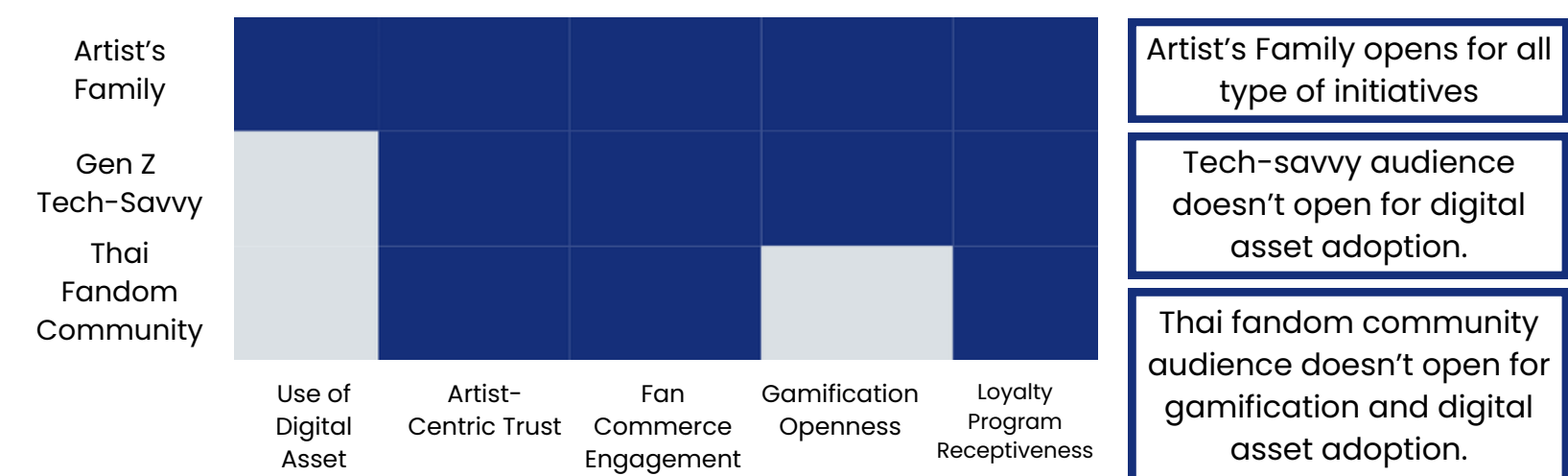
Three Core Personas Identified – via Line Calls, One-on-one Interviews, Online Form Survey



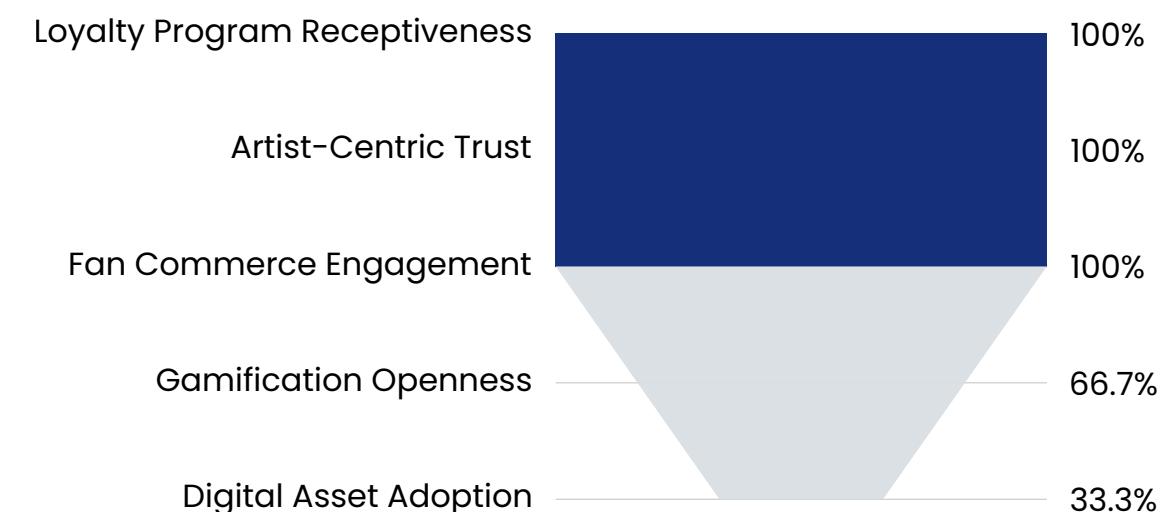
Sentiment-Driven Persona Mapping for Loyalty Strategy Design

- Fans are ready for **reward-based engagement**, but not for tech integration that is complex and nonintuitive

Binary Consumer Sentimentation Matrix



Sentiment Dimension Prioritisation



Appendix IV: Detailed Thai Entertainment Consumers Survey

GMM Grammy must prioritise intuitive digital technology for 2025–2030 outlook based on our Thai entertainment consumer survey conducted.

Non- to Semi- Target Personas

| Artist's Family

K'Kophaï along with his big brother, K'Poom ATLAS⁶

- Gen Z that is actively cheerful to his big brother on concert performing.

Key Quotations from interview

“ พี่ผมบอกการเป็นศิลปินคือการขายวิญญาณ จะทำอะไรก็ขอให้ไม่กระทบแฟนคลับพอแล้ว ”
“ ผมมองว่า **เทคโนโลยี** เข้าใจและเข้าถึงง่าย ดึงดูดคนกว่าเทคโนโลยีที่ยังไม่แน่นอน ”
“ **loyalty rewards** และ **gamification** เป็นสิ่งที่ GMM Grammy ควรให้ความสำคัญถ้าต้องการ **สร้างความพึงพอใจจากลูกค้าในระยะยาว** ”

| Tech-conscious's Family

K'Cho

- Gen Z that passionates on digital asset investment and technology-driven integrating on lifestyle.

Key Quotations from interview

“ tech solution สำหรับคอนเสิร์ตควรทำให้ **ประสบการณ์ของลูกค้าไม่ใช่จบแค่ในคอนเสิร์ต** ”
“ ผมว่าการพาร์ทเนอร์ที่ดีคือเราสามารถสร้างคุณค่าให้กับเขาได้ในระยะยาวมากกว่าจับมือแค่ project เดียวแล้วเลิก ”

Direct Target Personas

| GRAMMY's Thai Fandom

K'Namphaeng and 6 of her Thai Fandom friends

- Gen Z that is routinely involving on GMM communities and activities, dedicated 10k+ THB monthly in approximate as for their artists' fund support.

Key Quotations from interview

“ อะไรก็ได้ แต่ถ้าจะเข้ามาคืออยากให้เข้าใจและเข้าถึงง่าย ๆ น้อย ”
“ ทุกวันนี้บางคนลงทุนซื้อสินค้าให้ถึงยอดเป็นแสนเพื่อจับมือกับศิลปินที่ชอบยังไม่ได้จับเลย ถ้ามี **post purchase incentives** ดีๆ เข้ามา ย่อมใจก็เป็นความคิดที่ดีนะ ”
“ ถ้ามีสิทธิประโยชน์ที่สามารถแลกเปลี่ยนกันได้หรือ **เข้าถึงบางสินค้าได้ก่อน** จะชอบมาก ”

Thai GRAMMY's Fandom on X Community

- Were conducted on survey titled, “GMM Concert Experience & NFT Sentiment Survey” and received responses from 26 individuals where the survey found:

65.4% | Somewhat aware of NFT tech.

61.5% | Heard of Bitkub/Bitkub NFT but never used

73% | Rejects, disagrees, lacks of awareness of NFT integration

Negative sentiment results to complex digital tech integration to GRAMMY's end customer targets.

⁶ Thai boyband idol group under XOXO Entertainment debuted in 2565, blending pop and R&B. Known widely on Gen Z audiences.